single world which had existed before the First World War. These thoughts occupied his mind for the rest of the war. In Washington, White was also thinking about ‘future currency arrangements’. The compromise between the plans which Keynes and White produced would be known as the Bretton Woods System.

Keynes’s ideas about an international monetary system had evolved over the years but he had never formulated a comprehensive, detailed, and integrated plan. In *A Treatise on Money*, Keynes envisaged the possibility of gradually linking up the national currencies into a managed international system, taking the gold standard as a starting point. It was in the German preface to this book, published a year later, that he outlined the idea of a currency union with a common currency unit. The task of devising a postwar system was made considerably more difficult by the fact that Britain would start from an existing state of extreme disequilibrium and required foreign exchange urgently to pay for her imports. This called for new ideas and concepts, and the problem which presented seemingly insurmountable constraints had to be approached in an unconventional manner. No one was better qualified to handle it than Keynes with his peerless economic knowledge, lucid intelligence, and leaps of intuition. Brilliant in expression and provocative in thought, he was in the words of his biographer Robert Skidelsky ‘the greatest persuader in twentieth-century economics.’[1]

In September 1941, Keynes circulated his plan for an international clearing union in the Treasury. By February 1942, he was into his fourth draft which was shown to ministers. Among those who had seen the plan were Professor Lionel Robbins (later Lord), Professor Dennis Robertson, Roy Harrod, and Lord Catto. On August 4, 1942, Keynes circulated a redraft of ‘Proposals for an International Clearing Union’ which he felt was ready to be shown to Americans and the rest of the world. He gave it the subtitle ‘Not Utopia, but Eutopia.’ Roy Harrod, Keynes’s first biographer, noted how in the course of discussion, comment and redrafting, Keynes’s plan by an imperceptible process came to be regarded as the main Treasury plan. To begin with, Keynes had intended to solicit the views of American experts so as to avoid the crystallization of ideas that were not acceptable to both, but his attempts to contact the American government to start discussions on post-war planning were in vain. And unknown to Keynes, a